Damped Spring: Weekly Outlook Jan 1, 2026

Extracted from: DS Weekly Outlook Meeting

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⏱️ **5-Minute Version:** Watch Key Excerpts

Speaker Bio

> **Andy Constan** is founder of Damped Spring Advisors, a macro research firm serving institutional investors. Former head of portfolio strategy at Bridgewater Associates and senior PM at DE Shaw. Known for deep Fed plumbing expertise and cross-asset macro frameworks. Joined by **Jimmy**, DS contributor focused on technicals and oil markets.

Executive Summary

Andy's strongest conviction: **the Fed will cut more than priced**—not because of a dovish chair, but because they should. The economy shows zero job growth (not crisis, but not good), consumer struggling on jobs/wages/spending, and disinflationary forces flowing through housing data. Meanwhile, AI capex remains the only engine firing—nonresidential fixed investment in info equipment/software doubled over 5 years to +$700B/year—but that **looks toppy** and is showing cracks in hyperscaler credit and equity.

The two binary unknowns keeping Andy from pressing bets: **Fed chair announcement** (Hassett = bond market problem, Waller = competent continuity) and **SCOTUS tariff decision** (could come January, definitely by June). Both outcomes point to steepening if wrong. The setup: 2-10s could hit 95-100bps easily, with tens potentially spiking to 4.35-4.40% in a "twist" where 2s rally and 10s dump simultaneously.

PM implication: Principal risk position is steepeners—10Y puts + long front-end (SOFR). Short dollar on rallies, but don't chase gold here (still elevated). Equity puts are cheap, worth accumulating. Oil's Venezuela narrative could flip—watch 56 support; if it holds on gap-down, strength may surprise. No Santa Claus rally happened; January effect rotations in play (underperformers bid, Mag7 sold).

Listen or Skip?

Verdict: Must-listen for rates traders

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Rates traders, macro PMs, anyone positioning around Fed/policy catalysts **Skip if:** Looking for equity stock picks or long-term strategic allocation

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Key Quotes

1. > *"The Fed's going to cut more than priced and not because they have a crazy dove at the wheel but because they should."*

2. > *"Zero growth, zero job growth. That's not good. It's hard to say that's good, but it's not like anything looking like a real market slowdown."*

3. > *"AI is everything. It's the dominant… you're getting tremendous nonresidential fixed investment in info equipment and software. That's what's working in this economy."*

4. > *"I'm fairly convinced assets have gone as far as they can. Long-term assets in the US have gone as far as they can unless there's significant stimulus."*

5. > *"Hassett's going to be a problem for the bond market. It's going to be a steeper, certainly going to hurt the long end."*

6. > *"Two-tens could go to 95-100 easily right now… tens break out higher and do a really evil twist."*

7. > *"It doesn't behoove this administration to pound oil into the 40s. It really doesn't… that'll kill us."*

8. > *"The one-year straddle was like 13%. What at year end. And man that's a lot to pay."*

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1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	`Neutral-Bearish` (waiting on catalysts)
Conviction	`Medium`
Time Horizon	`Tactical (0-2m)`
Primary Domain(s)	`Rates` `Macro` `Equities` `Oil`
Why Now?	Fed chair + SCOTUS tariff decisions imminent; steepening setup

Top 3 Investable Ideas:

1. **Steepeners (long 2s, short 10s)** — Principal risk; 2-10s targeting 95-100bps; add on dips
2. **Equity puts** — Cheap; accumulate 5% OTM tails with high leverage
3. **Short dollar on rallies** — Against EUR, GBP, JPY; wait for strength to sell into

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2) Key Investable Insights

Insight 1: Fed Cuts More Than Priced

- **Claim:** Slowing economy + disinflation = Fed should and will cut beyond market expectations
- **Asset Class:** US Rates (front-end)
- **Mechanism:** Consumer weakening, zero job growth, housing not responding to lower mortgage spreads
- **Expression:** Long SOFR, short dollar, steepeners
- **Trigger to Exit/Flip:** Hot inflation prints, hawkish Fed rhetoric, strong employment data
- **Confidence:** High

Insight 2: Steepener as Principal Risk

- **Claim:** 2-10s heading to 95-100bps; potential "evil twist" (2s down, 10s up)
- **Asset Class:** US Treasuries (curve)
- **Mechanism:** Fed chair uncertainty (Hassett = steepener), SCOTUS tariff decision, no foreign or policy support for long-end
- **Expression:** 10Y puts + long front-end; avoid long duration
- **Trigger to Exit/Flip:** Waller named Fed chair, tariffs declared legal and priced
- **Confidence:** High

Insight 3: AI Capex Toppy, Hyperscalers Fading

- **Claim:** $700B/yr AI spend is peaking; credit and equity markets showing cracks
- **Asset Class:** US Equities (Tech)

- **Mechanism:** Order books filled but growth rate decelerating; NASDAQ making lower highs, software charts "look like dog"
- **Expression:** Underweight hyperscalers, rotate to semis (charts look great) or equal-weight
- **Trigger to Exit/Flip:** Breakout in XLK, renewed capex acceleration
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Fed chair announcement	Hassett = long-end dump, Waller = rally	Equity multiple re-rating	Bond-equity correlation stays positive	Steepening hurts carry trades	Consensus avoiding long duration
SCOTUS tariff decision	Legal = steepener initially	Trade partner renegotiations	Tariff uncertainty = USD vol	Refund tailwind if illegal	Hedges cheap, not crowded
Venezuela oil	Short-term bearish headlines	Infrastructure delays flip narrative	Oil-energy equities divergence	Flat curve = cheap vol	Services ETFs bid before news
AI capex deceleration	Hyperscaler weakness	Rotation to semis, equal-weight	NASDAQ-rates correlation elevated	N/A	January effect amplifies rotation

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle with binary catalyst overhang. Consumer struggling, AI carrying, policy uncertainty high.
- **Base Case (50%):** Fed cuts more than priced, economy muddles through, 2-10s hits 90-100bps, equities chop with rotation from Mag7 to equal-weight. Dollar weakens.
- **Alt Case 1 (25%):** Hassett named + tariffs legal = bond rout, 10Y to 4.5%+, equities correct 10-15%, gold rips.
- **Alt Case 2 (15%):** Waller named + tariffs illegal = risk-on rally, curve flattens, dollar dumps, equities squeeze higher.
- **Alt Case 3 (10%):** Shutdown in January + policy paralysis = vol spike, flight to quality in 2Y, long-end still heavy.
- **Anti-Thesis Trigger:** Strong January data surprises, inflation reaccelerates, Fed turns hawkish
- **Tail Risks:** Government shutdown, SCOTUS delays decision to June, oil spikes on geopolitical escalation

5) Hard Data & Verifiable Claims

- **Data:** 2-10s spread at steepest in 6 months
- **Data:** AI nonres fixed investment doubled in 5 years (+$700B/yr)
- **Data:** Mortgage spreads at tightest in cycle (but not stimulating housing)
- **Data:** Jan VIX GN-March spread at 335 (historically wide contango)
- **Data:** 1Y SPX straddle at 13% at year-end
- **Data:** Tax refunds expected $80-90B in late Jan/early Feb
- **Data:** Venezuela has 300B barrels reserves; infrastructure rebuild takes years
- **Claim:** Zero job growth currently (not recession, but not positive)
- **Claim:** Consumer struggling on jobs, wages, spending
- **Claim:** Hassett = steepener, Waller = continuity (consensus among DS team)

6) BS & Bias Filter

- **Incentives:** Andy runs paid research (DSR); positioned in steepeners, SOFR, collar butterflies
- **Blind Spots:** Very US-centric; limited EM/international equity discussion

- **Track Record:** Called QT overdone and RMO correctly; waiting on Fed chair has been frustrating but disciplined
- **Consensus Check:** Steepener view widely shared; contrarian on oil (not chasing Venezuela downside)
- **Sample Bias:** Heavy rates/plumbing expertise; defers to Jimmy on oil technicals

7) PM Bottom Line

Action → Position / Hedge

Steepeners are the principal risk trade—2-10s to 95-100bps is the base case regardless of Fed chair outcome. Equity puts are cheap; accumulate tails. Don't chase gold or oil here; wait for better entries. The two binary unknowns (Fed chair, SCOTUS) keep Andy from pressing, but the setup is clear: front-end supported, long-end vulnerable, dollar biased lower.

Key watches: Fed chair announcement (January expected), SCOTUS tariff decision timing, 10Y yields at December lows (air underneath), oil 56 support level, VIX Jan-March spread compression.